Philip Fisher

Warren Buffett calls Philip Fisher a "giant" of investing. "From him," Buffett says, "I learned the value of the 'scuttlebutt' approach: Go out and talk to competitors, suppliers, customers to find out how an industry or company really operates." Instead of analyzing balance sheets, San Francisco–based Fisher prefers to study people and organizations—his pioneering contribution to securities analysis. "I have stressed management, but even so, I haven't stressed it enough. It is the most important ingredient." He looks for leaders who are on the cutting edge, welcome dissent, and promote innovation. One management practice he disdains is the wholesale firing of people in the name of cost-cutting.

Fisher, whose father was a doctor and personally educated him, entered college at 15, then attended Stanford Business School for a year. There, he learned about talking to company management teams by tagging along with a professor who did consultant work. After school, his first job was with a San Francisco bank, performing securities analysis. He then went on to a stock exchange firm, only to have the 1929 crash derail his career. It was for the best as he started his own firm in 1931, Fisher & Co., with two great advantages working for him: Most Depression-era executives had little to do and were willing to talk to him about their businesses, and most potential clients were pretty unhappy with their current advisors. At the age of 89 he was still managing money for a handful of clients.

One of his winning strategies that came out of the Depression was to look to the long term. "The companies I invest in have enough momentum to keep going three to five years," he says. In fact, he'll hold on to stocks for decades; for example, he held Food Machinery Corporation, one of his first buys back in 1931, into the 1960s, when he finally sold some shares. Other multidecade holds include Texas Instruments and Motorola. In general, however, if a stock hasn't met his expectations after three years, he sells. Fisher uses Motorola as a case study in *The People Factor,* in which he discusses the importance of a company's management when making investment decisions.